

12 Aug 2026 11:45:40 ET | 14 pages

ASUSTeK Computer (2357.TW)

Industry-leading supply chain management to drive market share gains potential; lift TP to NT\$1,100

CITI'S TAKE

Asus reported 2Q26 net profit of NT\$19bn, +94% QoQ and 94% YoY, beating Street estimates by 73-75%. The biggest surprise came as its GM grew to 17.2% (vs. 14.9% in 1Q). Management attributed the outperformance to the Company's focus shift toward more high-end products (commercial PC sales seeing 3 consecutive quarters of >50% YoY) and its timely price hike initiative together with strong supply chains management. Another surprise is that Asus is now guiding for its 3Q PC shipment to grow mid-single digit QoQ, against market narrative of overall industry shipment decline, which we believe is due to its market share gain potentials and stronger supply chain procurement capability. For AI server, full year guidance was raised again to now >150% YoY (vs. +100% previously). Considering its promising AI outlook and strong execution, we reiterate our Buy rating and lift our TP to NT\$1,100 (from NT\$800 previously).

A strong 2Q GM beat and upbeat guidance — Against expectation of margins erosion by rising cost and higher AI server mix, 2Q GM was 17% (vs. Citi/consensus: 14.7%/13.6%). We note that Asus' inventory has seen 4 consecutive quarters of QoQ growth, and its inventory climbed by +38% QoQ/+141% YoY in 2Q26 as it continues to conduct early procurement of low cost components in view of a strong outlook. For 3Q guidance, it is also better than market expectation with PC sales to grow 15-20% QoQ, Components +5-10% and Server +10-15% QoQ. For 4Q outlook, we are seeing stronger server ramp and new PC model launch to drive its sales momentum. Asus' ProArt P16, the first wave of PC model to be equipped with Nvidia RTX Spark, should be in the market in 4Q26 with orders already fully booked by channels customers.

Lifted server growth guidance — Management is seeing order visibility extending with strong deployment demand from neocloud and enterprise clients. It raised 2026 server sales to >150% YoY, vs. previous +100%. Within the server business, the mix of HGX:NVL72:general server is 60:30:10 in 2Q26. While further mix shift toward more rack level may pressure GM, we believe the stronger operating leverage on larger scale should drive its OPM to reach above Company's long term 4-5% target.

Reiterate Buy — We raise our 2026/27E earnings by 47%/43% respectively as we see stronger sales and margins outlook from both PC and AI server business. We raise our TP to NT\$1,100 based on 13x 2027 EPS (x12 previously), in line with its historical trading range. We reiterate our Buy rating given the company's strong development in its server business and the strategic shift toward high-end PC.

Earnings Summary

Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	31,394	42.27	97.1	20.2	2.3	12.3	4.0
2025A	44,558	59.99	41.9	14.2	2.4	16.6	4.9
2026E	57,957	78.03	30.1	10.9	1.8	18.9	7.4
2027E	63,138	85.00	8.9	10.0	1.6	16.8	8.0
2028E	69,231	93.21	9.6	9.1	1.3	15.7	8.8

Source: Powered by dataCentral

Buy

Price (12 Aug 26 13:30)	NT\$852.00
Target price	NT\$1,100.00↑ from NT\$800.00
Expected share price return	29.1%
Expected dividend yield	4.9%
Expected total return	34.0%
Market Cap	NT\$632,832M US\$19,626M

Price Performance (RIC: 2357.TW, BB: 2357 TT)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2357.TW: Fiscal year end 31-Dec						Price: NT\$852.00; TP: NT\$1,100.00; Market Cap: NT\$632,832m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	587,087	738,905	1,030,572	1,179,616	1,414,121	PE (x)	20.2	14.2	10.9	10.0	9.1
Cost of sales	-483,617	-627,289	-865,986	-998,349	-1,206,584	PB (x)	2.3	2.4	1.8	1.6	1.3
Gross profit	103,470	111,616	164,586	181,267	207,537	EV/EBITDA (x)	15.6	12.0	5.8	3.2	2.0
Gross Margin (%)	17.6	15.1	16.0	15.4	14.7	FCF yield (%)	0.6	6.3	34.4	10.2	13.2
EBITDA (Adj)	30,146	40,250	66,108	71,749	79,765	Dividend yield (%)	4.0	4.9	7.4	8.0	8.8
EBITDA Margin (Adj) (%)	5.1	5.4	6.4	6.1	5.6	Payout ratio (%)	80	70	80	80	80
Depreciation	-551	-594	-609	-627	-627	ROE (%)	12.3	16.6	18.9	16.8	15.7
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	29,595	39,656	65,499	71,121	79,138	EBITDA	30,146	40,250	66,108	71,749	79,765
EBIT Margin (Adj) (%)	5.0	5.4	6.4	6.0	5.6	Working capital	-31,137	-7,529	157,830	1,340	14,102
Net interest	2,722	2,883	2,563	2,563	2,563	Other	6,588	8,561	-4,922	-8,043	-9,967
Associates	6,355	2,096	4,670	4,670	4,670	Operating cashflow	5,596	41,282	219,016	65,046	83,900
Non-Op/Except/Other Adj	3,519	10,373	5,651	4,643	4,643	Capex	-2,068	-1,114	-1,255	-627	-627
Pre-tax profit	42,190	55,008	78,383	82,998	91,014	Net acq/disposals	-1,123	10,404	-9,659	-4,670	-4,670
Tax	-7,951	-6,791	-17,807	-19,919	-21,843	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	-2,845	-3,659	-2,619	60	60	Investing cashflow	-3,190	9,290	-10,914	-5,298	-5,298
Reported net profit	31,394	44,558	57,957	63,138	69,231	Dividends paid	-12,627	-25,254	0	0	0
Net Margin (%)	5.3	6.0	5.6	5.4	4.9	Financing cashflow	4,806	-44,105	25,667	60	60
Core NPAT	31,394	44,558	57,957	63,138	69,231	Net change in cash	12,377	6,466	233,769	59,808	78,663
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	3,529	40,167	217,761	64,418	83,273
Reported EPS (\$)	42.27	59.99	78.03	85.00	93.21						
Core EPS (\$)	42.27	59.99	78.03	85.00	93.21						
DPS (\$)	34.00	42.00	62.77	68.38	74.98						
CFPS (\$)	7.53	55.58	294.87	87.57	112.96						
FCFPS (\$)	4.75	54.08	293.18	86.73	112.11						
BVPS (\$)	362.89	361.22	462.44	547.44	640.65						
Wtd avg ord shares (m)	743	743	743	743	743						
Wtd avg diluted shares (m)	743	743	743	743	743						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	21.7	25.9	39.5	14.5	19.9						
EBIT (Adj) (%)	165.1	34.0	65.2	8.6	11.3						
Core NPAT (%)	97.1	41.9	30.1	8.9	9.6						
Core EPS (%)	97.1	41.9	30.1	8.9	9.6						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	94,038	90,079	323,922	383,730	462,392						
Accounts receivables	107,078	139,327	156,378	196,981	233,459						
Inventory	152,620	197,642	164,427	211,064	252,119						
Net fixed & other tangibles	48,635	58,113	58,759	58,759	58,759						
Goodwill & intangibles	5,034	15,460	15,386	15,386	15,386						
Financial & other assets	149,118	131,035	150,131	160,948	173,464						
Total assets	556,524	631,657	869,003	1,026,867	1,195,579						
Accounts payable	73,997	119,584	215,020	273,492	326,690						
Short-term debt	25,296	29,755	40,213	40,213	40,213						
Long-term debt	366	293	311	311	311						
Provisions & other liab	159,667	184,462	240,137	276,392	322,675						
Total liabilities	259,326	334,094	495,681	590,407	689,888						
Shareholders' equity	269,540	268,297	343,481	406,619	475,850						
Minority interests	27,658	29,266	29,841	29,841	29,841						
Total equity	297,198	297,563	373,322	436,460	505,691						
Net debt (Adj)	-68,375	-60,031	-283,398	-343,206	-421,869						
Net debt to equity (Adj) (%)	-23.0	-20.2	-75.9	-78.6	-83.4						

For definitions of the items in this table, please click [here](#).

Figure 1. Asustek – 2Q26 results overview

	2Q26	1Q26		2Q25		2Q26		2Q26	
(NT\$m)	Actual	Actual	Q/Q	Actual	Y/Y	Citi	Diff.	Cons.	Diff.
Revenue	257,732	208,370	24%	188,006	37%	243,632	6%	240,393	7%
Gross profit	44,243	30,969	43%	25,963	70%	35,829	23%	32,787	35%
Gross margin	17.2%	14.9%	+2.3ppt	13.8%	+3.4ppt	14.7%	+2.5ppt	13.6%	+3.5ppt
Op. profit	20,974	11,896	76%	7,835	168%	11,831	77%	11,246	86%
OP margin	8.1%	5.7%	+2.4ppt	4.2%	+4.0ppt	4.9%	+3.3ppt	4.7%	+3.5ppt
Net income	19,048	9,797	94%	9,806	94%	11,036	73%	10,854	75%
EPS (NT\$)	25.64	13.19	94%	13.20	94%	14.86	73%	14.83	73%

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Source: Citi Research, Bloomberg

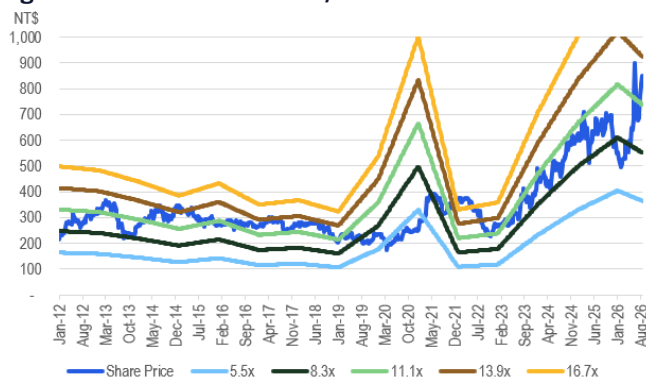
Figure 2. Asustek – Estimates Revisions

	2026E			2027E			2028E		
(NT\$m)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	1,030,572	926,866	11%	1,179,616	1,019,950	16%	1,414,121	1,228,488	15%
YoY growth	39%	25%		14%	10%		20%	20%	
Gross profit	164,585	136,506	21%	181,267	143,230	27%	207,537	165,288	26%
Opex	99,086	91,721	8%	110,146	97,623	13%	128,400	115,119	12%
Operating profit	65,499	44,785	46%	71,121	45,607	56%	79,138	50,169	58%
Pre-tax profit	78,383	56,528	39%	82,998	63,194	31%	91,014	69,340	31%
Net income	57,957	39,552	47%	63,138	44,147	43%	69,231	48,037	44%
EPS (NT\$)	78.03	53.25	47%	85.00	59.44	43%	93.21	64.67	44%
Gross margin	16.0%	14.7%	+1.2ppt	15.4%	14.0%	+1.3ppt	14.7%	13.5%	+1.2ppt
Opex ratio	9.6%	9.9%	-0.3ppt	9.3%	9.6%	-0.2ppt	9.1%	9.4%	-0.3ppt
Operating margin	6.4%	4.8%	+1.5ppt	6.0%	4.5%	+1.6ppt	5.6%	4.1%	+1.5ppt
Net margin	5.6%	4.3%	+1.4ppt	5.4%	4.3%	+1.0ppt	4.9%	3.9%	+1.0ppt

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Source: Citi Research

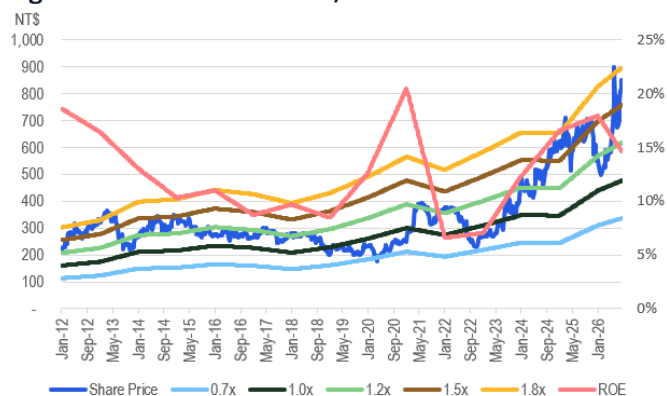
Figure 3. Asustek – Forward P/E band



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Source: Citi Research

Figure 4. Asustek – Forward P/B band & ROE



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Source: Citi Research

Figure 5. Asustek – Forecast Summary

NT\$m	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net sales	208,370	257,732	290,057	274,413	251,120	281,283	326,240	320,973	351,330	412,780	535,239	537,192	482,314	587,087	738,905	1,030,572	1,179,616	1,414,121
Gross profit	30,969	44,243	45,947	43,426	36,861	43,590	51,263	49,554	53,488	73,210	110,305	74,145	72,405	103,474	111,614	164,585	181,267	207,537
OPEX	19,073	23,269	27,655	29,089	21,943	24,692	30,289	33,222	41,871	48,253	60,980	61,162	61,241	73,879	71,958	99,086	110,146	128,400
Operating profit	11,896	20,974	18,292	14,337	14,918	18,897	20,974	16,332	11,617	24,957	49,326	12,982	11,164	29,595	39,656	65,499	71,121	79,138
Total Non-OP	1,964	5,283	1,718	3,919	1,883	4,356	1,718	3,919	7,687	8,163	9,763	8,633	10,930	12,595	15,352	12,885	11,876	11,876
Pre-tax profit	13,860	26,257	20,010	18,256	16,801	23,253	22,692	20,252	19,304	33,120	59,089	21,616	22,094	42,190	55,008	78,383	82,998	91,014
Income tax	2,703	5,920	4,802	4,381	4,032	5,581	5,446	4,860	4,094	7,317	12,483	4,784	4,204	7,951	6,791	17,807	19,919	21,843
Net profit	9,797	19,048	15,223	13,890	12,784	17,687	17,261	15,406	14,334	23,974	44,550	14,691	15,928	31,394	44,558	57,957	63,138	69,231
EPS (NT\$)	13.19	25.64	20.49	18.70	17.21	23.81	23.24	20.74	19.30	32.28	59.98	19.78	21.44	42.27	59.99	78.03	85.00	93.21
Margins (%)																		
Gross profit	14.9	17.2	15.8	15.8	14.7	15.5	15.7	15.4	15.2	17.7	20.6	13.8	15.0	17.6	15.1	16.0	15.4	14.7
OPEX to Sales Ratio	9.2	9.0	9.5	10.6	8.7	8.8	9.3	10.4	11.9	11.7	11.4	11.4	12.7	12.6	9.7	9.6	9.3	9.1
Operating profit	5.7	8.1	6.3	5.2	5.9	6.7	6.4	5.1	3.3	6.0	9.2	2.4	2.3	5.0	5.4	6.4	6.0	5.6
Pre-tax profit	6.7	10.2	6.9	6.7	6.7	8.3	7.0	6.3	5.5	8.0	11.0	4.0	4.6	7.2	7.4	7.6	7.0	6.4
Net profit	4.7	7.4	5.2	5.1	5.1	6.3	5.3	4.8	4.1	5.8	8.3	2.7	3.3	5.3	6.0	5.6	5.4	4.9
Y/Y(%)																		
Net sales	41.1	37.1	44.8	35.2	20.5	9.1	12.5	17.0	(0.8)	17.5	29.7	0.4	(10.2)	21.7	25.9	39.5	14.5	19.9
Gross profit	25.9	70.4	60.1	34.3	19.0	(1.5)	11.6	14.1	2.8	36.9	50.7	(32.8)	(2.3)	42.9	7.9	47.5	10.1	14.5
OPEX	58.7	28.4	46.6	26.8	15.0	6.1	9.5	14.2	19.5	15.2	26.4	0.3	0.1	20.6	(2.6)	37.7	11.2	16.6
Operating profit	(5.4)	167.7	85.9	52.5	25.4	(9.9)	14.7	13.9	(31.6)	114.8	97.6	(73.7)	(14.0)	165.1	34.0	65.2	8.6	11.3
Pre-tax profit	(15.2)	118.2	47.3	40.0	21.2	(11.4)	13.4	10.9	(8.0)	71.6	78.4	(63.4)	2.2	91.0	30.4	42.5	5.9	9.7
Net profit	(23.4)	94.3	44.2	21.8	30.5	(7.1)	13.4	10.9	(12.1)	67.3	85.8	(67.0)	8.4	97.1	41.9	30.1	8.9	9.6
Q/Q(%)																		
Net sales	2.7	23.7	12.5	(5.4)	(8.5)	12.0	16.0	(1.6)										
Gross profit	(4.3)	42.9	3.9	(5.5)	(15.1)	18.3	17.6	(3.3)										
OPEX	(16.9)	22.0	18.8	5.2	(24.6)	12.5	22.7	9.7										
Operating profit	26.5	76.3	(12.8)	(21.6)	4.1	26.7	11.0	(22.1)										
Pre-tax profit	6.3	89.5	(23.8)	(8.8)	(8.0)	38.4	(2.4)	(10.8)										
Net profit	(14.1)	94.4	(20.1)	(8.8)	(8.0)	38.4	(2.4)	(10.7)										

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Source: Citi Research, company data

Bull/Bear: ASUSTeK Computer (2357.TW)

NT\$1,200.00
▲41% Upside

NT\$1,100.00
▲29% Upside

NT\$700.00
▼18% Downside



Spread 59pp
Current Price and expected returns (upside/downside) as of 12 Aug 2026



BULL Assumptions

- Better than expected margin outlook on declining cost burden



BASE Assumptions

- Smooth ramps of its AI server business



BEAR Assumptions

- Weaker than expected margin outlook on cost pressure and server business dilution

ASUSTeK Computer

Company description

Established in 1990, ASUSTeK Computer (Asus) has built a reputation in motherboards and tapped the notebook market in 1997. It enjoys a leading position in the global motherboard market. Asus has become a pure brand company. Besides motherboards and NB, Asus also markets hand-held devices, graphics cards, and other consumer electronics.

Investment strategy

We rate the shares at Buy. We believe Asus is well-positioned to capture the growth opportunities brought about by rising AI PC penetration, proliferation of edge AI, as well as robust growth in gaming PC/VGA and AI servers. The company's strong balance sheet and solid cash yield would also help cushion on the downside in case of market volatility.

Valuation

Our target price of NT\$1,100 is based on 13x PER multiple on 2027E EPS. 13x is at the midpoint of historical trading range since 2014, which we think is justified as the company has recovered from its earnings trough in 2Q17 and has started to bear fruit from BU reorganization with improving product offerings. We choose a P/E-based valuation methodology as the market is likely to focus on the company's earnings outlook while the industry consolidates.

Risks

Downside risks to our target price being achieved include: 1) weaker-than-expected end demand for PCs and servers/AI servers; 2) margin contraction and pricing deterioration for PCs and motherboard as well as graphic card businesses; and 3) intensified peer competition.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

ASUSTeK Computer (2357.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Nicholas Lai



	Date	Rating	Target Price	Closing Price
1	09-Aug-23 10:41:42	2	*359.00	379.00
2	11-Aug-23 14:02:19	2	*395.00	368.00
3	15-Mar-24 11:14:29	2	*445.00	429.00
4	13-May-24 09:06:29	2	*490.00	466.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	07-Aug-24 11:10:09	*1	*760.00	469.50
6	08-Nov-24 08:59:40	1	*785.00	621.00
7	11-Mar-25 10:10:15	1	*765.00	654.00
8	13-May-25 09:37:09	1	*730.00	608.00

	Date	Rating	Target Price	Closing Price
9	11-Nov-25 11:15:44	1	*855.00	661.00
10	18-Mar-26 05:07:33	1	*700.00	594.00
11	12-May-26 12:27:52	1	*800.00	673.00

Rating/target price changes above reflect Eastern Time

ASUSTeK Computer (2357.TW)

Short-Term View/Catalyst Watch Research

Analyst: Nicholas Lai



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Aug-24 07:10:09	Add STV	Upside	30 Days	469.50
2	06-Sep-24 14:11:52	Remove STV	Upside	30 Days	527.00
3	08-Nov-24 03:59:40	Add STV	Upside	90 Days	621.00
4	06-Feb-25 19:45:08	Remove STV	Upside	90 Days	652.00
5	11-Mar-25 06:10:15	Add STV	Downside	30 Days	654.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
6	10-Apr-25 21:37:40	Remove STV	Downside	30 Days	485.00
7	11-Apr-25 04:10:59	Add STV	Upside	30 Days	512.00
8	11-May-25 21:43:43	Remove STV	Upside	30 Days	602.00
9	13-May-25 05:37:09	Add STV	Downside	30 Days	608.00
10	12-Jun-25 21:35:43	Remove STV	Downside	30 Days	682.00

	Date	Action	Expected Direction	Duration	Closing Price
11	13-Aug-25 05:36:06	Add STV	Upside	90 Days	640.00
12	11-Nov-25 19:59:24	Remove STV	Upside	90 Days	661.00
13	18-Mar-26 01:07:33	Add STV	Upside	90 Days	594.00
14	16-Jun-26 21:38:47	Remove STV	Upside	90 Days	791.00

Rating/target price changes above reflect Eastern Time

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